Item	Detail
Change description	Consumer remittances US to Mexico through payout partner Remesas del Norte S.A.
Change owner	Priya Nair, Payments
Business unit	Payments
Executive sponsor	Head of Payments Products
Document status	Draft for FCRM change assessment, version 1.0

Target go-live is Q1 2027, subject to completion of the FCRM change assessment, partner integration testing and the readiness sign-offs listed in section 11. The Payments unit proposes to launch consumer remittances from the United States to Mexico through a third-party payout partner, which will credit beneficiaries in Mexico.

1. Executive summary

The Bank has no consumer remittance product today. Retail customers who send money to family in Mexico use other providers, and the Bank loses the related deposit and card relationships. This case asks for approval to offer a digital send service to existing retail customers, with payout delivered in Mexico by a partner.

The service is intended to be simple and low value. Customers send from the Bank's mobile app or web banking, pay a transparent fee and the beneficiary receives the funds in a Mexican bank account. The Bank does not hold money for the beneficiary and does not operate any payout locations of its own.

This document is the business case submitted for FCRM change assessment. It sets out the rationale, the proposed operating model, the volume and revenue projections, the risks the business has identified and the controls it proposes. Sections 9 and 10 are written for the FCRM analyst and the Risk Committee.

2. Business rationale and target market

Mexico is one of the largest remittance corridors for United States senders, and a large share of that activity is still carried out through non-bank providers. The Bank's retail franchise includes many customers who already send money home each month, using cash at agent locations or other digital services.

Segment	In scope	Notes
Small business customers	No	Business payments are handled by Treasury Services
Retail consumers	Yes	Existing deposit customers sending money to family in Mexico
High-net-worth individuals	No	Served by Private Banking international transfers
Non-customers	No	The service is limited to fully onboarded customers

Customer research carried out by the Payments unit in the second quarter found that around one in eight retail customers sends money abroad at least quarterly, and that Mexico is the most frequently named destination. Customers cited fees, delivery time and trust in the provider as the main reasons for choosing a service.

The proposal targets one segment only. Eligibility is enforced at the point of sale: only customers who have completed the Bank's standard customer due diligence, have held a checking account for at least ninety days and have no open fraud flags can use the service.

The strategic case is retention and primary-bank engagement. Customers who send money regularly are more likely to hold direct deposit and a debit card with the Bank, and a competitive remittance service protects those balances.

3. Product description

The service allows an eligible customer to send a single remittance from a Bank checking account to a named beneficiary in Mexico. The customer enters the beneficiary's name and bank account details, reviews the fee and the exchange rate shown before confirming, and receives a confirmation and a receipt by email and in the app.

Customers send through the Bank's mobile app and web banking. Branch and call-centre assisted sending are out of scope for the first release. Each transfer is sent in US dollars and delivered in Mexican pesos at the exchange rate quoted to the customer at the time of the transfer.

3.1 Customer experience

The send flow is designed to take under three minutes. Customers see the total cost, including the fee and any exchange-rate margin, before they confirm, and can cancel within the period permitted for the transfer. Status updates are shown in the app until the beneficiary has been paid.

Support for the service sits with the existing digital banking service desk, which will receive scripts and training before launch. Complaints and error resolution follow the Bank's standard process for payment disputes.

4. Corridor and payout partner

The service launches in a single corridor. Funds are sent from the Bank's customers in the United States to beneficiaries in Mexico; no other sending or receiving country is in scope. The Payments unit will assess any later extension of the corridor as a separate change.

The Bank proposes to appoint Remesas del Norte S.A. as its payout partner in Mexico. The partner receives the transfer instruction and the settlement funds from the Bank and credits the beneficiary's account. The partner already supplies payment services to the Bank in the United States; this case extends that relationship to the Mexico corridor.

The partner was selected after a competitive review of three providers on price, delivery speed, bank coverage in Mexico and ease of technical integration. The selection paper is held by the Payments unit and is available to the FCRM analyst on request.

Item	Detail
Sending market	United States, existing retail customers only
Corridor	US to Mexico, one way, sending from the US only
Beneficiary	Individuals in Mexico with a bank account
Delivery	Credit to the beneficiary account, typically same day

Funds flow only one way. The Bank does not receive remittances from Mexico under this proposal, and the partner does not take deposits or hold customer funds beyond the prefunded settlement balance.

5. Operating model and payout channels

The end-to-end flow has five steps. The customer submits the transfer in the app; the Bank screens the parties, applies its transaction monitoring and debits the customer; the Bank sends the payout instruction to the partner; the partner credits the beneficiary's bank account in Mexico; and the partner confirms delivery, after which the Bank closes the transaction.

Payout is by bank deposit only. The partner credits the beneficiary's account at a Mexican bank; there is no mobile wallet and no home delivery in the first release, and no other payout channel is proposed.

Settlement between the Bank and the partner is made in advance on a prefunded basis. The Bank keeps a balance with the partner that covers the next business day's expected payouts and tops it up each day.

5.1 Operational responsibilities

The Bank owns customer onboarding, sanctions and transaction screening, transaction monitoring and customer support. The partner owns beneficiary account verification, payout execution, delivery confirmation and its own regulatory obligations in Mexico.

Operational reporting from the partner is daily: payouts completed, payouts returned and exceptions raised. Reconciliation is performed by Payments Operations each business day, and unreconciled items older than two days are escalated.

6. Volume and financial projections

Volume projections assume a gradual ramp-up as the service is promoted to eligible customers. The assumptions below were prepared by the Payments unit with Finance and have not yet been challenged by FCRM; the change assessment will test them against comparable launches.

Table 1: Key planning assumptions

Assumption	Value
Eligible retail customers at launch	About 410,000
Expected adoption by end of year 1	Around 6 percent of eligible customers
Launch sending states	Texas, California and Illinois

Table 2: Projected annual send volume and fee revenue

Year	Send volume	Fee revenue
Year 1 (2027)	$48M	$1.9M
Year 2 (2028)	$85M	$3.2M
Year 3 (2029)	$120M	$4.3M

Fee revenue assumes an average all-in fee of roughly four percent of send value in year 1, falling slightly as volume grows. Volumes are send values in US dollars and exclude any exchange-rate margin.

7. Market and competitive context

The corridor is served by money transfer operators, fintech apps and a small number of banks. Money transfer operators dominate cash-based sending, while fintech apps have taken share among digitally active customers by offering low fees and fast delivery to bank accounts. Few United States banks offer a direct, in-app remittance service to Mexico.

Pricing in the corridor has fallen steadily. The Bank proposes a transparent fee tier by send value, with no exchange-rate margin beyond the rate disclosed in the send flow. Early testing with customers suggests that clear pricing and a trusted brand are worth more to them than being the cheapest option.

The Bank's differentiators are its existing relationship with the sender, the convenience of sending from the account where pay is deposited, and the Bank's established fraud and customer protection processes. The service is not expected to attract customers who are new to the Bank in year 1.

Competitive response is a risk to volume rather than to the case itself. The projections in section 6 assume modest adoption and do not rely on price leadership.

8. Regulatory and compliance context

As a United States bank, the Bank must operate its remittance service within its anti-money laundering and counter-terrorist financing program, apply sanctions screening to every party to a transfer and meet its consumer disclosure and error-resolution obligations. This case does not seek any exemption from existing policy.

Under the Bank's change governance, any new product, third-party relationship or geography must be assessed by FCRM before it goes live. This change introduces all three: a new consumer product, a new payout partner arrangement for the corridor and a new destination country, so the assessment will consider each of them.

The business has engaged Compliance and Legal early. Legal is reviewing the partner agreement, and Compliance has been asked to confirm the disclosure content that will apply to the corridor. Their conclusions will be recorded in the assessment, not assumed in this document.

Regulatory expectations on third-party oversight apply to the partner relationship. The Bank will keep a due diligence file for the partner, review its performance and controls at least annually and retain the right to audit, as set out in the partner agreement.

9. Key risks and mitigations

The Payments unit has identified the risks below. They are the business's own view and are offered to help the FCRM analyst; the FCRM assessment will form its own view of inherent risk and of the strength of each control.

Risk	Mitigation proposed
Sanctions exposure on cross-border payments	Screen sender, beneficiary and partner on every transfer
Structuring and layering through repeat sends	Transaction monitoring and case review by Financial Crimes
Failure or misconduct by the payout partner	Contract controls, daily reporting, annual review and audit
Fraud and scams targeting senders	Beneficiary confirmation and scam warnings in the app
Misuse of beneficiary account details	Data minimisation, encryption and access logging

The business regards third-party concentration as the most significant of these risks, because all payouts in the corridor depend on a single partner. A contingency partner is not proposed for the first release; the Payments unit will revisit this at the post-launch review.

10. Proposed controls and monitoring

Customer controls: only existing, fully onboarded retail customers can use the service. Each sender is screened against sanctions lists at onboarding and again whenever lists are updated, and every transfer is screened before funds leave the Bank.

Transaction controls: transfers are monitored for unusual activity and alerts are reviewed by the Financial Crimes Operations team using the Bank's standard case management process.

Partner controls: the partner agreement requires the partner to maintain an anti-money laundering program, to screen beneficiaries, to report exceptions daily and to give the Bank audit rights. The Payments unit will own day-to-day oversight and will report quarterly to FCRM.

Post-launch review: the Bank will review the service six months after launch, covering volumes against forecast, alert outcomes, complaints and partner performance, and will report the result to the Risk Committee.

11. Implementation plan

The plan below is indicative. Dates after the FCRM decision depend on its outcome and on any conditions the Risk Committee attaches.

Milestone	Target
FCRM change assessment and decision	October 2026
Partner agreement finalised	October 2026
Integration and end-to-end testing	November to December 2026
Operational readiness review	January 2027
Controlled launch to eligible customers	After readiness sign-off

The critical path runs through partner integration testing. The partner has committed a dedicated integration team, and the Bank has reserved test capacity in its payments platform for the period shown.

A limited pilot with Bank employees, run before the controlled launch, will confirm end-to-end operation, reconciliation and customer support readiness. Findings from the pilot will be reported to FCRM before launch.

12. Costs and resourcing

One-off costs are estimated at $3.1 million: $2.0 million for platform integration and testing, $0.6 million for compliance and legal review and $0.5 million for marketing and training. Ongoing costs are estimated at $1.4 million a year at the year 1 volume.

The Payments unit will add six full-time staff: two product and operations roles, two customer support roles and two reconciliation analysts. Compliance and Financial Crimes Operations will absorb the additional alert volume within current capacity for the first six months, which the post-launch review will test.

Funding is held within the Payments unit's approved investment envelope for 2026 and 2027. No additional capital is requested. The case breaks even in the second half of year 2 on the projections in section 6.

Cost estimates exclude any remediation the FCRM assessment or the Risk Committee may require as a condition of approval. The business will update the estimates if conditions materially change the scope.

13. Assumptions, dependencies and open items

The case assumes that the payout partner meets the service levels in the partner agreement, that the Bank's payments platform can support the additional volume without a platform change, and that eligible customers can be identified from existing onboarding records.

Dependencies include completion of the partner agreement, completion of integration testing, Legal confirmation of the customer disclosures and FCRM approval. Each dependency has a named owner in the project plan.

Open items at the date of this document: the partner's licensing evidence, the partner's attestation of its anti-money laundering program and the product sign-off reference. These will be completed during the change assessment.

Questions on this document can be directed to the change owner listed in section 14.

14. Approvals and contacts

This business case has been prepared by the Payments unit. Approvals are recorded below; the FCRM change assessment and the Risk Committee decision are outside the business unit's authority and are recorded in the FCRM workbench.

Approval	Status
Business sponsor	Approved
Head of Payments Operations	Approved
Legal review of the partner agreement	In progress
Compliance review of customer disclosures	In progress

Role	Name	Email	Phone
Change owner	Priya Nair	priya.nair@bank.example	(415) 555-0132
Partner liaison	Lucia Fernandez	l.fernandez@remesasdelnorte.example	

Document history: version 1.0 submitted for FCRM change assessment. Later versions will be recorded in the workbench.